

ACC250: Intro to Financial Accounting

Ch2. The Balance Sheet

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Learning Objectives

- Apply the duality of effects and the debit/credit framework.
- Run Steps 1–4 of the accounting cycle, ending with the trial balance.
- Prepare a classified balance sheet and compute the current ratio.
- Value assets under the cost principle.

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- 3 Accounting Cycle
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- 4 Current Ratio - Assets
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Three different types of business activities:

- ❶ Financing - The raising and repayment of capital.
 - ▶ Selling stocks to shareholders
 - ▶ Borrowing money from banks
 - ▶ Paying dividends to shareholders

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- ➌ Operating - The core activities of a business that generate revenue (incl. R & E).
 - ▶ Selling products
 - ▶ Buying supplies
 - ▶ Paying employees' salaries
 - ▶ Paying rent for office space

Business Activities - Classification exercise

- **F I O**: Choose F (Financing), I (Investing), or O (Operating).
- **NI**: O if the activity affects Net Income (through Revenue or Expense), otherwise X.

Business Activities	F I O	NI
Two owners of the NoodleCake decided to contribute \$5,000 each.	—	—
NoodleCake received \$20,000 cash in exchange for its promise to repay the loan in two years.	—	—
NoodleCake purchased a logo by paying \$300 cash to a designer.	—	—
NoodleCake bought \$9,600 of Equipment on credit.	—	—
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Transactions

Financial activities that involve the exchange of goods, services, or money.

- All transactions affect the basic accounting equation: $A = L + SHE$.
- Two types:
 - ▶ Operating activities: Affect NI (mainly covered in Ch3).
 - ▶ Financing and Investing activities: Do not affect NI (covered in Ch2).
- **Activities but not transactions:**
 - ▶ Promising to hire employees
 - ▶ Exchange of stocks between shareholders

A chart of accounts

A company manages its own [chart of accounts](#) to record transactions.

Examples of common accounts:

Account	Class	Definition
Cash	—	Money available for immediate use, including currency, coins, and balances in checking and savings accounts.
Supplies	—	Items used in the course of business operations that are expected to be consumed within a short period.
Equipment	—	Long-term assets such as machinery, computers, or vehicles used in business operations.
Logo and Trademarks	—	Intangible assets representing the company's brand identity and legally protected symbols or names.
Software	—	Computer programs and applications owned or licensed by the company for business use.
Accounts Payable	—	Amounts the company owes to suppliers for goods or services purchased on credit.
Notes Payable	—	Written promises to pay a specific amount of money at a future date, often with interest.
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Duality of Effects

Each transaction has at least two effects on the basic accounting equation:

- $A = L + SHE$

Analyze the effects of the following transactions:

Business Activities	A	L	SHE
1. Two owners of the NoodleCake decided to contribute \$5,000 each.	+		+
2. NoodleCake received \$20,000 cash in exchange for its promise to repay the loan in two years.	-	-	
3. NoodleCake purchased a logo by paying \$300 cash to a designer.	-		
4. NoodleCake bought \$9,600 of Equipment on credit.	-	-	
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Debit/Credit Framework: 1. What are Debit and Credit?

Debit(DR): Left

Credit (CR): Right

Debit/Credit Framework: 2. What are Debit and Credit Accounts?

$$A = L + \text{SHE}$$

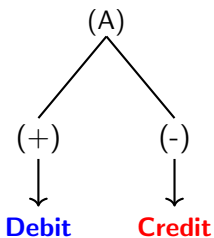


Those on
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Debit Accounts

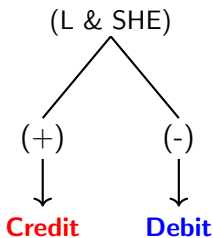


Those on
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Credit Accounts

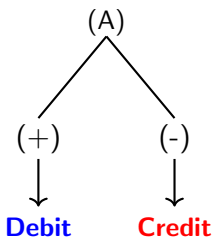
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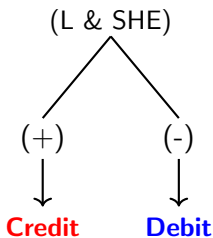
Credit accounts



Debit accounts



Credit accounts



- When Debit accounts increase: Debit.
- When Debit accounts decrease: Credit.
- When Credit accounts increase: Credit.
- When Credit accounts decrease: Debit.

Debit/Credit Framework

	A	L	SHE
Debit / Credit account	<u>Debit acc.</u>	<u>Credit acc.</u>	<u>Credit acc.</u>
Increase	<u>D (L)</u>	<u>C (R)</u>	<u>C (R)</u>
Decrease	<u>C (R)</u>	<u>D (L)</u>	<u>D (L)</u>

EX. Prepare journal entries for the following transactions under the debit/credit framework:

- ① Two owners of NoodleCake each contributed \$5K.

- ② Noodlecake pays \$300 cash to create the company's logo.

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- ① Two owners of NoodleCake each contributed \$5K.

Cash (+A)	10K
Common Stock (+SHE)	10K

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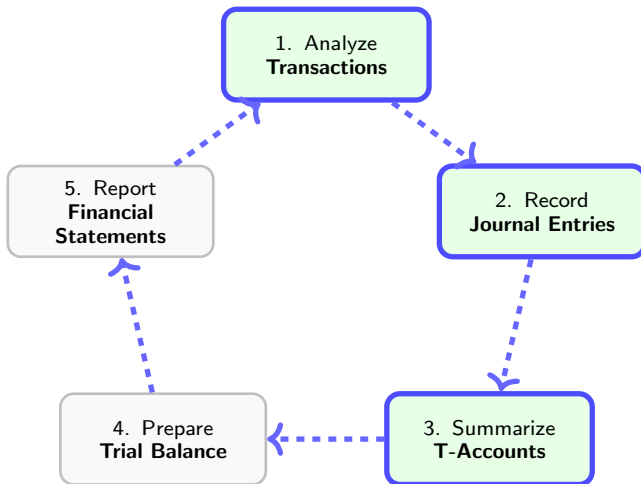
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Common Stock (+SHE)	10K

- ② Noodlecake pays \$300 cash to create the company's logo.

Logo and Trademarks (+A)	300
Cash (-A)	300

Accounting Cycle

A systematic accounting process is used to capture and report the financial effects of a company's transactions.



Note: Steps 1–3 are covered in this chapter.

Step 1. Analyze Transactions

Questions for Every Transaction

- 1 Is it a transaction?
- 2 Which accounts are affected?
- 3 How are they affected? (increase or decrease)

Example: You bought \$500 worth of supplies and paid cash.

- Transaction? It affects the basic accounting equation, so it's a transaction.
- What accounts? Supplies (Asset) and Cash (Asset) are affected.
- How affected? Supplies increases, Cash decreases.

A	= L	+ SHE

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Supplies +500		
Cash -500		

Step 1. Analyze Transactions - Examples

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A	=	L	+	SHE
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- ③ NoodleCake bought \$9,600 of Equipment on credit.

A	=	L	+	SHE
_____		_____		_____

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<u>Cash +10,000</u>		<u>Common Stock +10,000</u>

- 2 NoodleCake received \$20K cash in exchange for its promise to repay the loan in two years.

A	= L	+ SHE
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<u>Cash +10,000</u>		<u>Common Stock +10,000</u>

- 2 NoodleCake received \$20K cash in exchange for its promise to repay the loan in two years.

A	= L	+ SHE
<u>Cash +20,000</u>	<u>Notes Payable +20,000</u>	

- 3 NoodleCake bought \$9,600 of Equipment on credit.

A	= L	+ SHE

Step 1. Analyze Transactions - Examples

- ① Two owners of the NoodleCake decided to contribute \$5K each.

A	= L	+ SHE
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A	= L	+ SHE
<u>Cash +20,000</u>	<u>Notes Payable +20,000</u>	

- ③ NoodleCake bought \$9,600 of Equipment on credit.

A	= L	+ SHE
<u>Equipment +9,600</u>	<u>Accounts Payable +9,600</u>	

Step 2. Record Journal Entries

EX. Consider the following transactions. Prepare journal entries for each:

- ① Two owners of NoodleCake each contributed \$5K.

- ② Noodlecake pays \$300 cash to create the company's logo.

- ③ NoodleCake received \$20K cash in exchange for a promise to repay the loan in 2 years.

- ④ Noodlecake purchases and receives \$9,600 in equipment (e.g., computers), in exchange for its promise to pay \$9,600 at the end of the month.

Step 2. Record Journal Entries

EX. Consider the following transactions. Prepare journal entries for each:

- ① Two owners of NoodleCake each contributed \$5K.

Cash (+A)	10K
Common Stock (+SHE)	10K

- ② Noodlecake pays \$300 cash to create the company's logo.

- ③ NoodleCake received \$20K cash in exchange for a promise to repay the loan in 2 years.

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Cash (+A)	10K
Common Stock (+SHE)	10K

- ② Noodlecake pays \$300 cash to create the company's logo.

Logo and Trademarks (+A)	300
Cash (-A)	300

- ③ NoodleCake received \$20K cash in exchange for a promise to repay the loan in 2 years.

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Common Stock (+SHE)	10K

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Logo and Trademarks (+A)	300
Cash (-A)	300

- ③ NoodleCake received \$20K cash in exchange for a promise to repay the loan in 2 years.

Cash (+A)	20K
Notes Payable (+L)	20K

- ④ Noodlecake purchases and receives \$9,600 in equipment (e.g., computers), in exchange for its promise to pay \$9,600 at the end of the month.

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Logo and Trademarks (+A)	300
Cash (-A)	300

- ③ NoodleCake received \$20K cash in exchange for a promise to repay the loan in 2 years.

Cash (+A)	20K
Notes Payable (+L)	20K

- ④ Noodlecake purchases and receives \$9,600 in equipment (e.g., computers), in exchange for its promise to pay \$9,600 at the end of the month.

Equipment (+A)	9,600
Accounts Payable (+L)	9,600

- 5 Noodlecake pays \$5K to the equipment supplier in (d).

- 6 Noodlecake signs a contract with a programmer for program code for the Enchanted World game app for \$9K. No code has been received yet.

- 7 Noodlecake receives the \$9K of app game code ordered in (f), pays \$4K cash, and promises to pay the remaining \$5K next month.

- 8 Noodlecake receives supplies costing \$600 on account.

- 5 Noodlecake pays \$5K to the equipment supplier in (d).

Accounts Payable (-L)	5K
Cash (-A)	5K

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Cash (-A)	5K

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No journal entries required.

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Cash (-A)	5K

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No journal entries required.

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Software (+A)	9K
Cash (-A)	4K
Accounts Payable (+L)	5K

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- 5 Noodlecake pays \$5K to the equipment supplier in (d).

Accounts Payable (-L)	5K
Cash (-A)	5K

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No journal entries required.

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Software (+A)	9K
Cash (-A)	4K
Accounts Payable (+L)	5K

- 8 Noodlecake receives supplies costing \$600 on account.

Supplies (+A)	600
Accounts Payable (+L)	600

Step 3. Summarize T-Accounts

Ledger Accounts, T-Accounts, and General Ledger

- Transactions are posted to (i.e., summarized by) ([Ledger Accounts](#)).
- A complete list of Ledger Accounts is called [General Ledger](#).
- [T-account](#) is a visual representation of the (Ledger Accounts).
- We use T-accounts in this course.

Cash	
Beg. 0	
(a) <u>10,000</u>	<u>300</u> (b)
(c) <u>20,000</u>	<u>5,000</u> (e)
	<u>4,000</u> (g)
End. <u>20,700</u>	

Step 3. Summarize T-Accounts

Balances of T-accounts

- Debit accounts have normally debit balances.
- Credit accounts have normally credit balances.

Step 3. Summarize T-Accounts

Balances of T-accounts

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- Credit accounts have normally credit balances.

How to get transactions (in journal entries) posted to T-accounts?

- Get the beginning balance of the T-account from the previous period.

Step 3. Summarize T-Accounts

Balances of T-accounts

- Debit accounts have normally debit balances.
- Credit accounts have normally credit balances.

How to get transactions (in journal entries) posted to T-accounts?

- Get the beginning balance of the T-account from the previous period.
- For each account, go through transactions that affect the account.

Step 3. Summarize T-Accounts

Balances of T-accounts

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How to get transactions (in journal entries) posted to T-accounts?

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 - ▶ For those with debit values, add the debit value to the T-account.

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- For each account, go through transactions that affect the account.
 - ▶ For those with debit values, add the debit value to the T-account.
 - ▶ For those with credit values, add the credit value to the T-account.
- Get the ending balance of the T-account.

<u>Asset Accounts</u>			<u>Liab. Accounts</u>			<u>SHE. Accounts</u>	
Beg. Bal.			Beg. Bal.			Beg. Bal.	
		=			+		
End. Bal.			End. Bal.			End. Bal.	

Step 3. Summarize T-Accounts

ASSETS

Cash

Beg. 0

(a) 10,000

(c) 20,000

End. 20,700

300 (b)

5,000 (e)

4,000 (g)

Step 3. Summarize T-Accounts

ASSETS

Cash

Beg. 0	
(a) 10,000	300 (b)
(c) 20,000	5,000 (e)
	4,000 (g)
End. 20,700	

Supplies

Beg. 0	
(h) 600	
End. 600	

Step 3. Summarize T-Accounts

ASSETS

Cash

Beg. 0	
(a) 10,000	300 (b)
(c) 20,000	5,000 (e)
	4,000 (g)
End. 20,700	

Supplies

Beg. 0	
(h) 600	
End. 600	

Equipment

Beg. 0	
(d) 9,600	
End. 9,600	

Step 3. Summarize T-Accounts

ASSETS

Cash

Beg. 0	
(a) 10,000	300 (b)
(c) 20,000	5,000 (e)
	4,000 (g)
End. 20,700	

Supplies

Beg. 0	
(h) 600	
End. 600	

Equipment

Beg. 0	
(d) 9,600	
End. 9,600	

Logo & Trademarks

Beg. 0	
(b) 300	
End. 300	

Step 3. Summarize T-Accounts

ASSETS

Cash

Beg. 0	
(a) 10,000	300 (b)
(c) 20,000	5,000 (e)
	4,000 (g)
End. 20,700	

Supplies

Beg. 0	
(h) 600	
End. 600	

Equipment

Beg. 0	
(d) 9,600	
End. 9,600	

Logo & Trademarks

Beg. 0	
(b) 300	
End. 300	

Software

Beg. 0	
(g) 9,000	
End. 9,000	

Step 3. Summarize T-Accounts

ASSETS

Cash

Beg. 0	
(a) 10,000	300 (b)
(c) 20,000	5,000 (e)
	4,000 (g)
End. 20,700	

Supplies

Beg. 0	
(h) 600	
End. 600	

Equipment

Beg. 0	
(d) 9,600	
End. 9,600	

Logo & Trademarks

Beg. 0	
(b) 300	
End. 300	

Software

Beg. 0	
(g) 9,000	
End. 9,000	

LIABILITIES

Accounts Payable

	Beg. 0
(e) 5,000	9,600 (d)
	5,000 (g)
	600 (h)
	End. 10,200

Step 3. Summarize T-Accounts

ASSETS

Cash

Beg. 0	
(a) 10,000	300 (b)
(c) 20,000	5,000 (e)
	4,000 (g)
End. 20,700	

Supplies

Beg. 0	
(h) 600	
End. 600	

Equipment

Beg. 0	
(d) 9,600	
End. 9,600	

Logo & Trademarks

Beg. 0	
(b) 300	
End. 300	

Software

Beg. 0	
(g) 9,000	
End. 9,000	

LIABILITIES

Accounts Payable

	Beg. 0
(e) 5,000	9,600 (d)
	5,000 (g)
	600 (h)
	End. 10,200

Notes Payable

	Beg. 0
	20,000 (c)
	End. 20,000

Step 3. Summarize T-Accounts

ASSETS

Cash

Beg. 0	
(a) 10,000	300 (b)
(c) 20,000	5,000 (e)
	4,000 (g)
End. 20,700	

Supplies

Beg. 0	
(h) 600	
End. 600	

Equipment

Beg. 0	
(d) 9,600	
End. 9,600	

Logo & Trademarks

Beg. 0	
(b) 300	
End. 300	

Software

Beg. 0	
(g) 9,000	
End. 9,000	

LIABILITIES

Accounts Payable

	Beg. 0
(e) 5,000	9,600 (d)
	5,000 (g)
	600 (h)
	End. 10,200

Notes Payable

	Beg. 0
	20,000 (c)
	End. 20,000

SHAREHOLDERS' EQUITY

Common Stock

	Beg. 0
	10,000 (a)
	End. 10,000

Step 4. Prepare Trial Balance

- Take all the debits and credits from the T-Accounts
- Put them in the Trial Balance.
- Calculate the total debits and credits.
- Check if the **total debits** equal the **total credits**.
- **If it does not, there is an error in the journal entries.**

Account Title	Debit (\$)	Credit (\$)
Cash	<u>20,700</u>	
Supplies	<u>600</u>	
Equipment	<u>9,600</u>	
Logo & Trademarks	<u>300</u>	
Software	<u>9,000</u>	
Accounts Payable		<u>10,200</u>
Notes Payable		<u>20,000</u>
Common Stock		<u>10,000</u>
Total	<u> </u>	<u> </u>

Step 4. Prepare Trial Balance

- Take all the debits and credits from the T-Accounts
- Put them in the Trial Balance.
- Calculate the total debits and credits.
- Check if the **total debits** equal the **total credits**.
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Account Title	Debit (\$)	Credit (\$)
Cash	<u>20,700</u>	
Supplies	<u>600</u>	
Equipment	<u>9,600</u>	
Logo & Trademarks	<u>300</u>	
Software	<u>9,000</u>	
Accounts Payable		<u>10,200</u>
Notes Payable		<u>20,000</u>
Common Stock		<u>10,000</u>
Total	<u>40,200</u>	<u>40,200</u>

Step 4. Prepare Trial Balance

- If the total debits do not equal the total credits, there's an error in the journal entries.
- If the total debits equal the total credits, the journal entries are likely correct.
- Having the same balances does not guarantee the journal entries are correct.

- **Assets** are grouped into **current assets** and **non-current assets**.
 - ▶ **Current assets**: those expected to be converted to cash or used up within 1 year (e.g., Cash, Supplies).
 - ▶ **Non-current assets**: those expected to provide benefits for more than 1 year (e.g., Equipment, Logo & Trademarks, Software).

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- **Liabilities** are grouped into **current liabilities** and **non-current liabilities**.
 - ▶ **Current liabilities**: those expected to be paid within 1 year (e.g., Accounts Payable, Notes Payable).
 - ▶ **Non-current liabilities**: those expected to be paid more than 1 year from now (e.g., Notes Payable).

Classified Balance Sheet

NoodleCake Studio, Inc.
Balance Sheet
As of August 31, 20XX

Assets	
Current Assets	
Cash	\$20,700
Supplies	600
Total Current Assets	\$21,300
Equipment	9,600
Logo & Trademarks	300
Software	9,000
Total Assets	<u>\$40,200</u>
Liabilities and Shareholders' Equity	
Current Liabilities	
Accounts Payable	\$10,200
Total Current Liabilities	\$10,200
Notes Payable	20,000
Total Liabilities	<u>\$30,200</u>
Stockholders' Equity	
Common Stock	\$10,000
Retained Earnings	\$0
Total Stockholders' Equity	<u>\$10,000</u>
Total Liabilities and Shareholders' Equity	<u>\$40,200</u>

Current Ratio

Current Ratio

A measure of a company's ability to pay its short-term obligations.

Calculated as: $\frac{\text{Current Assets}}{\text{Current Liabilities}}$

- Current Ratio > 1: the company is able to pay its current liabilities.
- Current Ratio < 1: the company is **not** able to pay its current liabilities.

EX. From the previous example:

- Current assets: _____
- Current liabilities: _____
- Current Ratio: _____
- Implications: The company _____ its current liabilities (to suppliers, employees, etc.) using its current assets (e.g., Cash, Accounts Receivable).

Current Ratio

Current Ratio

A measure of a company's ability to pay its short-term obligations.

Calculated as: $\frac{\text{Current Assets}}{\text{Current Liabilities}}$

- Current Ratio > 1: the company is able to pay its current liabilities.
- Current Ratio < 1: the company is **not** able to pay its current liabilities.

EX. From the previous example:

- Current assets: \$21,300
- Current liabilities: \$10,200
- Current Ratio: $\frac{\$21,300}{\$10,200} = 2.09$
- Implications: The company is able to pay its current liabilities (to suppliers, employees, etc.) using its current assets (e.g., Cash, Accounts Receivable).

Cost Principle

Assets are initially recorded at their **acquisition cost**, which includes all costs necessary to acquire the asset and prepare it for its intended use.

- Asset values are initially determined by the cost principle. (i.e., how much the company paid to acquire the assets.)
- **Not** the current market value of the assets.
- Subsequently, the value is adjusted for depreciation and other factors. (will be covered later.)

EX. Think about this:

- The firm paid \$9,600 to acquire the equipment.

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 - ▶ Historical acquisition cost: \$9,600 (following the cost principle).

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- To buy the same one today, the firm would need to pay \$10K.

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- The firm paid \$9,600 to acquire the equipment.
 - ▶ Historical acquisition cost: \$9,600 (following the cost principle).
- To buy the same one today, the firm would need to pay \$10K.
 - ▶ Current market value: \$10K.

EX. Think about this:

- The firm paid \$9,600 to acquire the equipment.
 - ▶ Historical acquisition cost: \$9,600 (following the cost principle).
- To buy the same one today, the firm would need to pay \$10K.
 - ▶ Current market value: \$10K.
- Historical acquisition cost is **not** the current market value of the asset.

EX. Think about this:

- The firm paid \$9,600 to acquire the equipment.
 - ▶ Historical acquisition cost: \$9,600 (following the cost principle).
- To buy the same one today, the firm would need to pay \$10K.
 - ▶ Current market value: \$10K.
- Historical acquisition cost is **not** the current market value of the asset.
- In B/S, the asset value is the historical acquisition cost.